

**“Sequential Screening with Limited Commitment
and Valuation Uncertainty” by Ding Li**

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Main novelty: combines limited commitment with valuation uncertainty in dispersion.

Main comment: this is a great second-year paper!

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A contract specifies an advance that gives the buyer the right to buy at some price.

- ▶ This seems to be a natural class of contracts to consider.
- ▶ The optimal menu generally consists of a continuum of contracts.

This needs more interpretation: Do we see this in practice? Why or why not?

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- ▶ But...we know that sellers have ways to mitigate commitment problems.
 - Simple example: rental contracts in the context of durable goods (Bulow, 1982).
 - Another example: reputation in the context of repeated games.

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- ▶ From a practical point of view: application-specific.
 - In hotel reservations, car rentals, etc.: probably a mix of both.